

EQUITY RESEARCH · INITIATION OF COVERAGE

NIKE, Inc.

NKE · Rubber & Plastics Footwear · benchmarked against LULU, DECK, CROX, UAA, VFC, COLM

RATING

HOLD

PRICE TARGET

\$32.56

CURRENT PRICE

\$33.12

IMPLIED RETURN

-1.7%

Abhishek Raut · 2026-10-05

Built from SEC EDGAR filings and public market data with Ticker-to-Thesis. Not investment advice.

HOLD: \$32.56 price target implies 2% downside

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Investment thesis

- The turnaround is already in the price: at ~\$34, the market discounts EBIT margins rebuilding to ~11% by FY31. That is our base case too, so we see fair value, not a bargain.
- FY27 is a reset year: management guides revenue down high-single digits and adj. EPS of \$1.15-1.35. We model -8% revenue and a ~5% EBIT margin.
- Self-help is real but back-end loaded: ~\$2.5bn of Pace savings by FY31, inventory down 3% y/y and gross margin up 60bp in Q1 support the rebuild; China (-22% in Q1) is the swing factor.

Valuation: Price target \$32.56 vs \$33.12 current: -1.7% implied return → HOLD. DCF (perpetuity growth 2.5%, WACC 9.2%): \$35.57 per share; exit-multiple method (8.6x EBITDA): \$32.51.

COMPANY SNAPSHOT

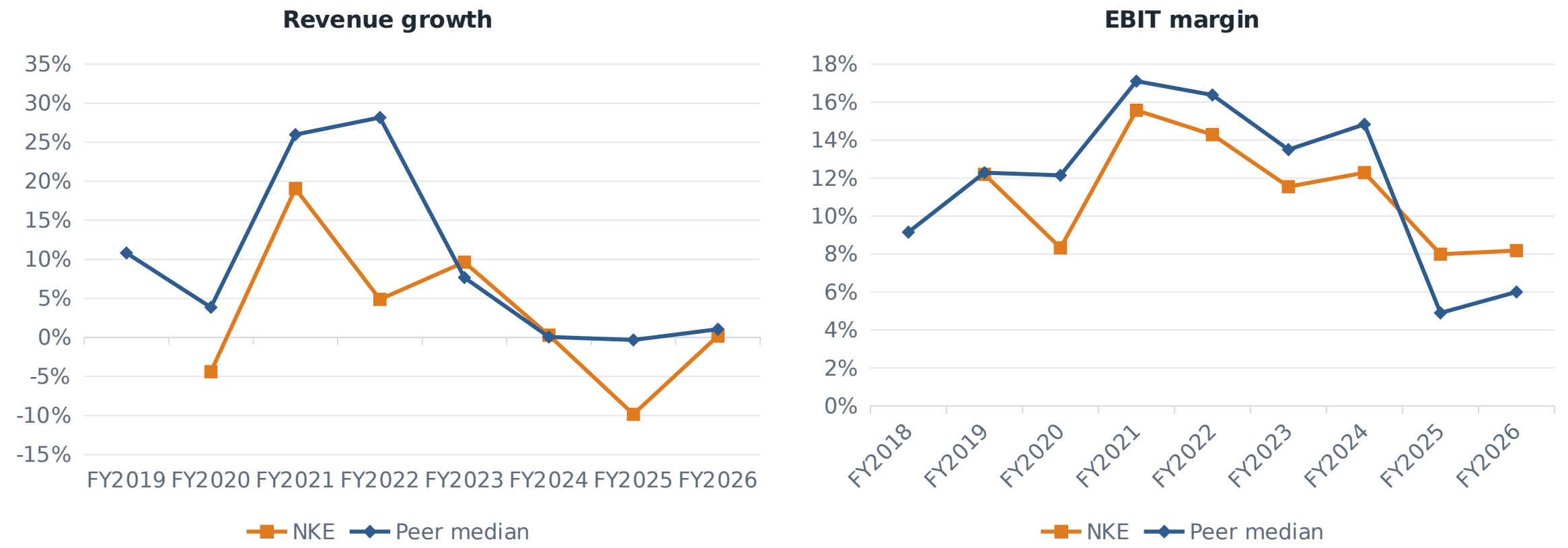
NIKE: \$46.4bn revenue, +0.2% growth and a 8.2% EBIT margin in FY2026

\$m	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398
Growth	4.9%	9.6%	0.3%	-9.8%	0.2%
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%
EBIT	6,675	5,915	6,311	3,702	3,797
EBIT margin	14.3%	11.5%	12.3%	8.0%	8.2%
Net income	6,046	5,070	5,700	3,219	3,108
Free cash flow	4,430	4,872	6,617	3,268	2,184
ROIC	59.4%	40.3%	44.7%	25.8%	23.4%
Net debt / EBITDA	-0.5x	-0.3x	-0.4x	-0.3x	-0.2x

Market cap	\$49.1bn
Enterprise value	\$48.7bn
Net debt / (cash)	(\$475m)
EV / EBITDA	10.7x
P / E	15.8x
52-week range	\$33.12 - \$71.17
Fiscal year end	05/31
Industry (SIC)	3021 Rubber & Plastics Footwear

FINANCIAL PERFORMANCE VS PEERS

EBIT margin is 2.1pp above the peer median; 3-year revenue CAGR -3.2% vs +1.9% for peers



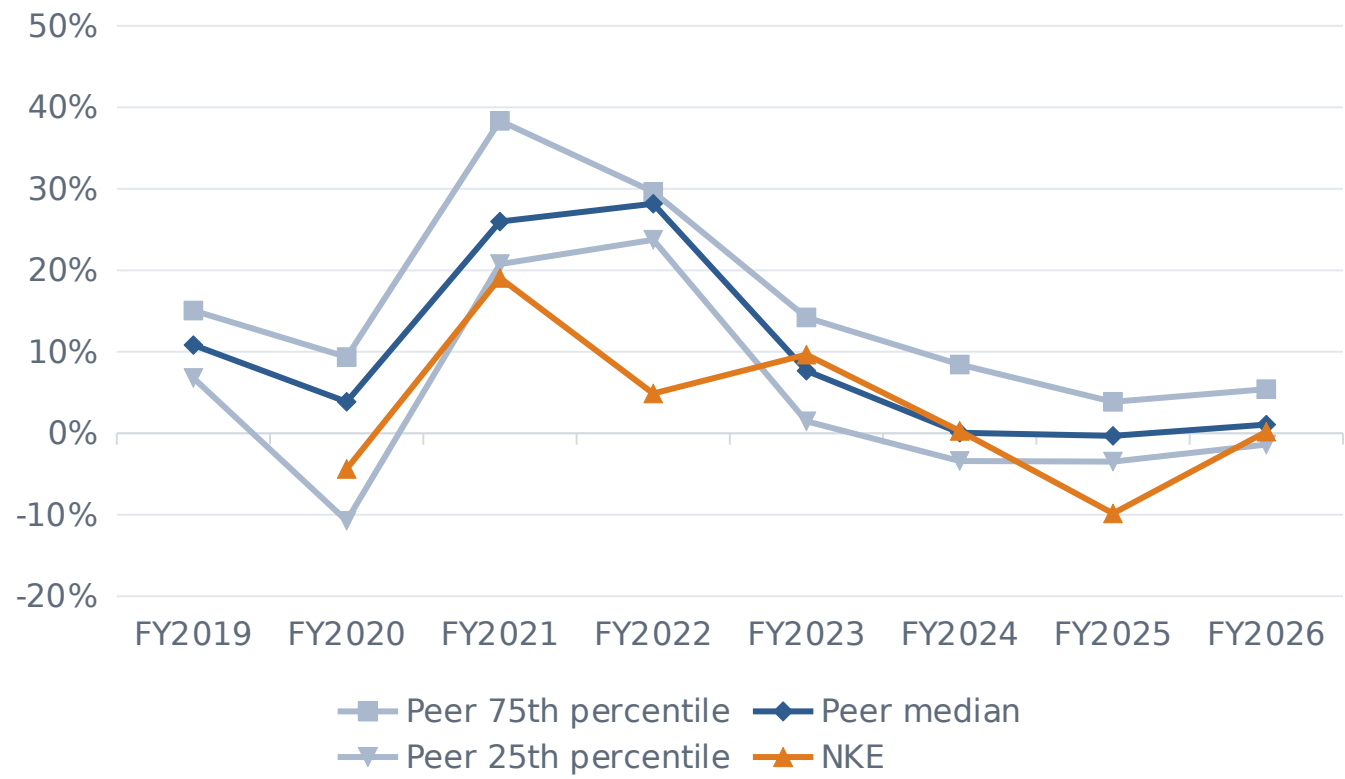
Profitability: EBIT margin of 8.2% ranks at the 64th percentile of the group (peer median 6.0%). Over three years it moved -3.4pp while the peer median moved -7.5pp.

Benchmark scorecard: NKE trails the peer median on 6 of 11 metrics and leads on 5

Metric	NKE	Peer median	Peer range (Q1-Q3)	Percentile	Verdict
Revenue growth	0.2%	1.0%	-0.9% – 3.9%	36	Worse
Revenue CAGR (3y)	-3.2%	1.9%	-3.7% – 9.4%	36	Worse
Gross margin	42.9%	55.7%	51.6% – 57.4%	7	Worse
EBIT margin	8.2%	6.0%	4.3% – 16.5%	64	Better
ROIC	23.4%	13.0%	4.3% – 46.8%	64	Better
FCF margin	4.7%	7.3%	5.9% – 14.3%	21	Worse
FCF conversion (FCF / net income)	70.3%	114.7%	95.0% – 146.3%	30	Worse
Net debt / EBITDA	-0.2x	-0.7x	-1.4x – 3.2x	42	Worse
Interest coverage (EBIT / interest)	11.8x	3.5x	1.7x – 499.2x	58	Better
Inventory days	103 days	119 days	89 days – 127 days	64	Better
Cash conversion cycle	100 days	109 days	100 days – 110 days	58	Better

Industry backdrop: peer revenue growth averaged +0.3% a year and margins are contracting

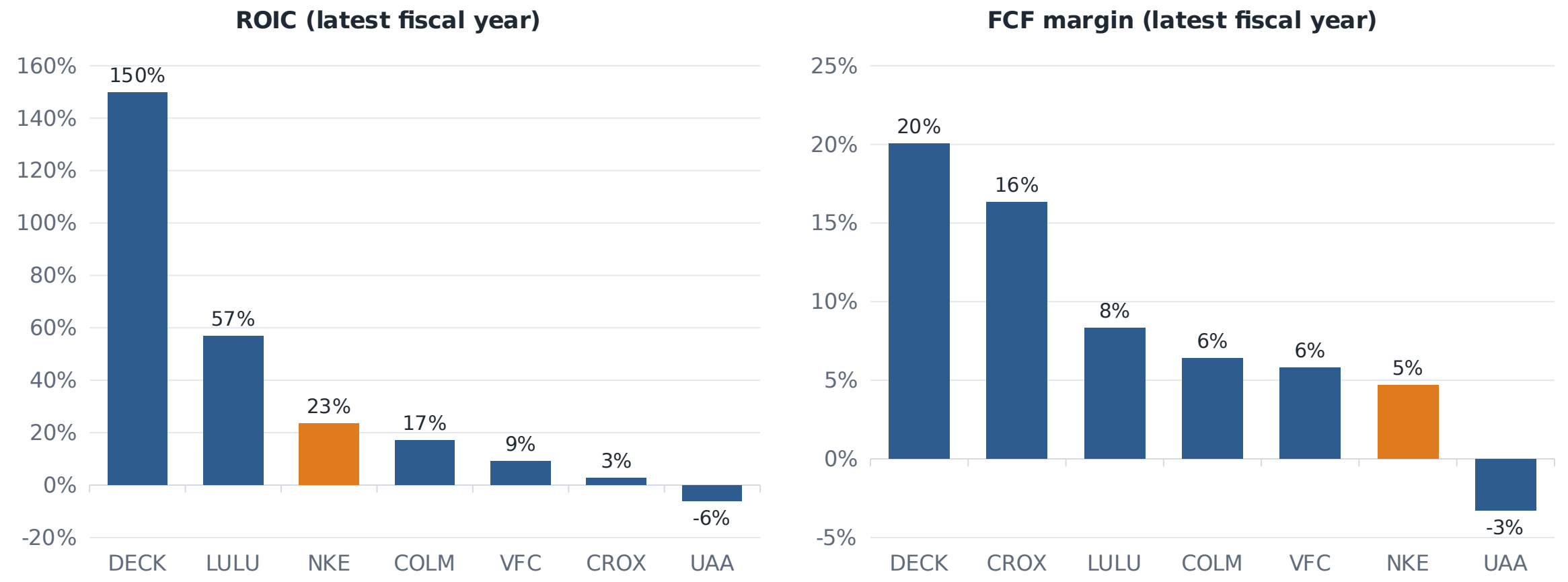
Revenue growth: peer distribution vs NKE



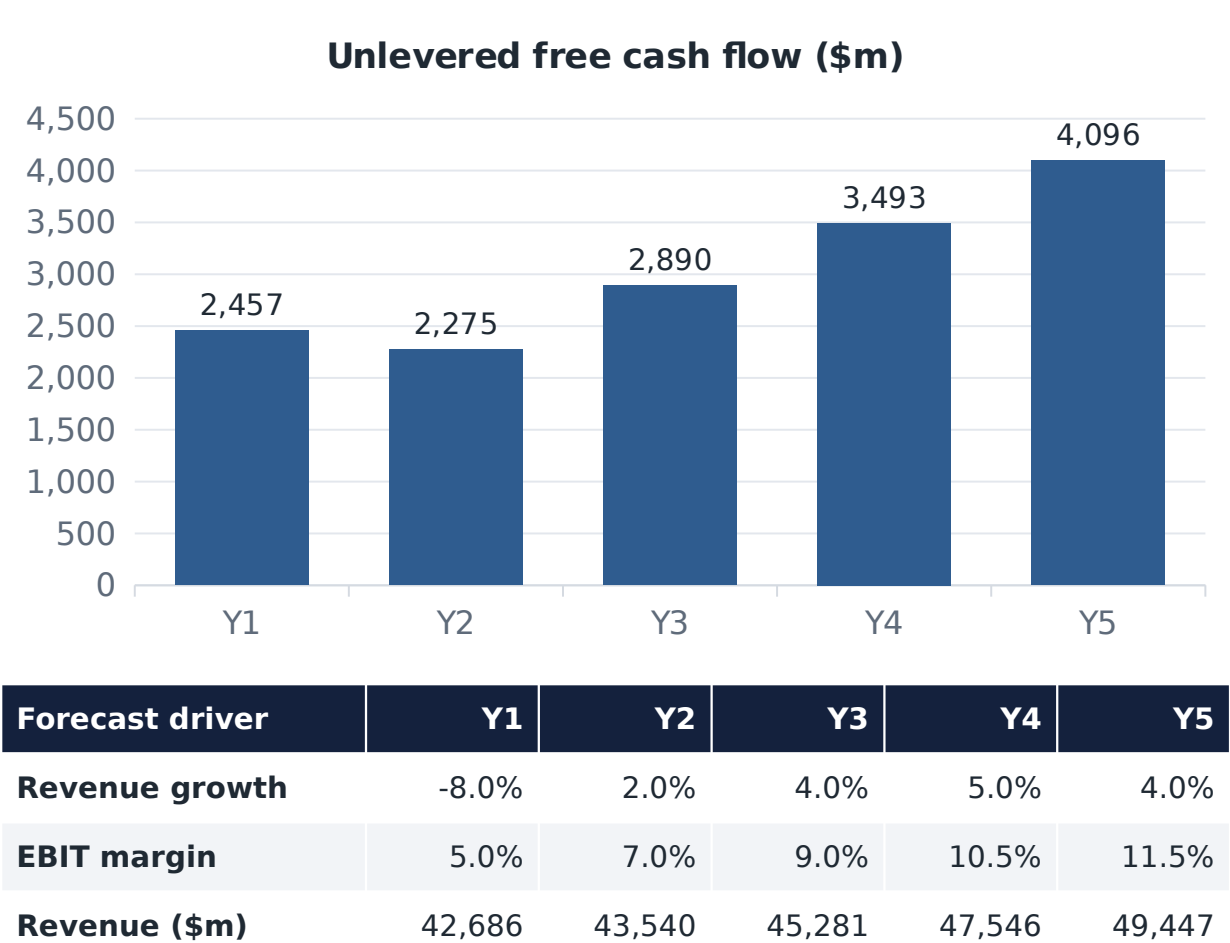
What the peer group tells us

- Peer-group revenue growth has averaged +0.3% a year over the last three years (latest +1.1%); NKE averaged -3.1%.
- Industry EBIT margins are contracting (-7.5pp over three years, now 6.0% at the median).
- Gross margin trend: peers +3.5pp, NKE -0.6pp over three years.

Returns and cash: NKE ranks #3 of 7 on ROIC and converts 70% of earnings into free cash flow



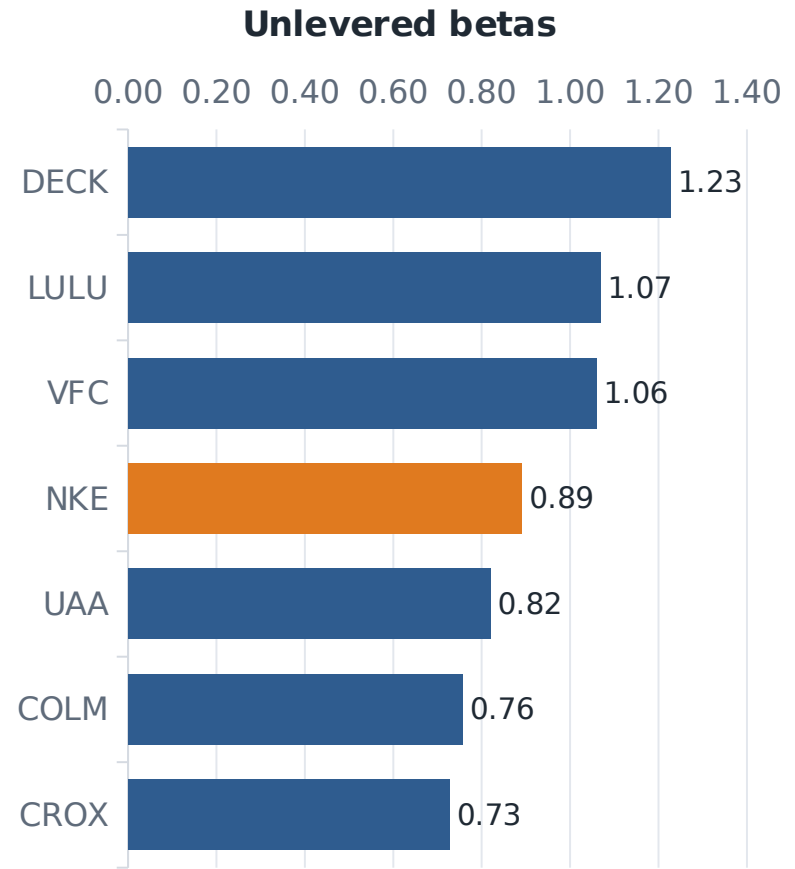
DCF: \$35.57 per share at a 9.2% WACC and 2.5% terminal growth



EV bridge (\$m)	Value
PV of forecast UFCF	11,987
PV of terminal value	40,328
Enterprise value	52,315
Less: net debt	-475
Equity value	52,790
Diluted shares (m)	1,484.2
Value per share	\$35.57
Terminal value % of EV	77.1%
Implied exit EV/EBITDA	9.7x
Exit-multiple method	\$32.51 at 8.6x

Cost of capital: 9.2% WACC from a bottom-up beta of 1.05 and an implied AAA credit rating

Component	Value	Basis
Risk-free rate	5.2%	FRED DGS10 (10-year Treasury), 2026-10-01
Equity risk premium	4.5%	Assumption (config)
Unlevered beta (peer median)	0.94	6 peers, 2y weekly vs S&P 500, Blume-adjusted
Relevered beta	1.05	At NKE's market D/E; own beta 1.00
Cost of equity	10.0%	CAPM: $r_f + \beta \times ERP$
Cost of debt (pre-tax)	5.8%	$r_f + 0.60\%$ spread (AAA; coverage 11.8x)
Weights (equity / debt)	86% / 14%	Market cap and book debt
WACC	9.2%	



Sensitivity: every ±0.5pp on WACC moves the DCF value by about \$3 per share

WACC \ terminal growth	2.00%	2.25%	2.50%	2.75%	3.00%
8.20%	\$39.19	\$40.55	\$42.03	\$43.65	\$45.43
8.70%	\$36.16	\$37.30	\$38.54	\$39.88	\$41.33
9.20%	\$33.56	\$34.53	\$35.57	\$36.69	\$37.90
9.70%	\$31.30	\$32.13	\$33.02	\$33.97	\$34.99
10.20%	\$29.32	\$30.03	\$30.80	\$31.61	\$32.48

Exit-multiple method

WACC \ exit multiple	6.6x	7.6x	8.6x	9.6x	10.6x
8.20%	\$27.96	\$30.90	\$33.85	\$36.79	\$39.74
8.70%	\$27.42	\$30.29	\$33.17	\$36.05	\$38.93
9.20%	\$26.89	\$29.70	\$32.51	\$35.33	\$38.14
9.70%	\$26.38	\$29.13	\$31.87	\$34.62	\$37.37
10.20%	\$25.88	\$28.56	\$31.25	\$33.94	\$36.63

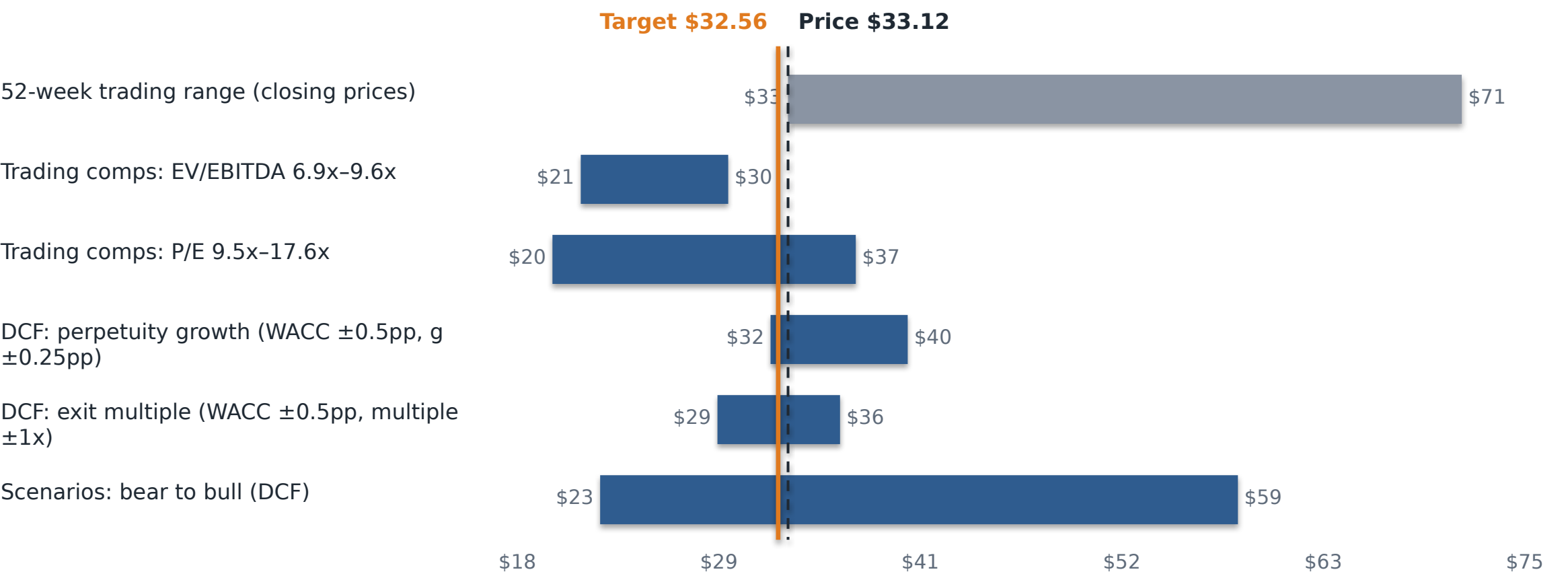
Green: ≥15% above the current price (\$33.12). Red: ≥10% below. Orange: base case.

Trading comps: NKE trades at 10.7x EV/EBITDA, a 25% premium to the peer median of 8.6x

Company	Mkt cap	EV	EV / Sales	EV / EBITDA	P / E	EBIT margin	FCF yield
DECK · Deckers Outdoor	\$10.8bn	\$9.2bn	1.7x	6.9x	10.6x	23.1%	10.1%
LULU · Lululemon athletica	\$9.7bn	\$8.3bn	0.7x	3.1x	6.1x	19.9%	9.5%
CROX · Crocs	\$5.7bn	\$6.8bn	1.7x	29.9x	n/a	3.7%	11.6%
VFC · VF	\$5.5bn	\$8.2bn	0.9x	9.6x	21.7x	6.0%	10.1%
COLM · Columbia Sportswear	\$2.9bn	\$2.3bn	0.7x	8.6x	16.3x	6.1%	7.5%
UAA · Under Armour	\$2.0bn	\$2.2bn	0.4x	n/a	n/a	-3.3%	-8.2%
NKE · Nike	\$49.1bn	\$48.7bn	1.0x	10.7x	15.8x	8.2%	4.4%
Peer median			0.8x	8.6x	13.4x	6.0%	9.8%

Implied value per share for NKE: EV/EBITDA: \$26.57 (range \$21.41–\$29.74) · P/E: \$28.12 (range \$19.81–\$36.94)

Valuation range: methods point to \$20-\$71; price target \$32.56



Price target = 50% × DCF perpetuity (\$35.57) + 25% × DCF exit multiple (\$32.51) + 25% × comps EV/EBITDA (\$26.57)

SCENARIO ANALYSIS

Scenarios: \$23 bear, \$36 base, \$59 bull (DCF value per share)

BEAR CASE			BASE CASE			BULL CASE		
\$22.50			\$35.57			\$58.53		
-32% vs current price			+7% vs current price			+77% vs current price		
Revenue growth	-11.0% → +1.0%		Revenue growth	-8.0% → +4.0%		Revenue growth	-5.0% → +7.0%	
EBIT margin (Y5)	9.5%		EBIT margin (Y5)	11.5%		EBIT margin (Y5)	13.5%	
WACC	10.2%		WACC	9.2%		WACC	8.2%	
Terminal growth	2.0%		Terminal growth	2.5%		Terminal growth	3.0%	

Key risks and what would change our view

Flagged by the data

- Margin compression: EBIT margin down 3.4pp over three years; the forecast assumes a recovery, which is the key swing factor.
- Valuation leans on the terminal value (77% of DCF enterprise value), so it is sensitive to WACC and long-run growth (see sensitivity tables).
- Premium multiple (10.7x EV/EBITDA vs peers 8.6x) despite below-median growth.

Analyst view

- China keeps falling: margins stall near 7% and value drops to ~\$22 (our 'stuck' case).
- Share loss to challenger running brands (On, Hoka) limits pricing power.
- Execution slips: with recovery already priced in, there is little cushion for delays.

Catalysts

- Q2 FY27 results (expected late December): first read on China and holiday sell-through.
- Signs that Greater China declines are bottoming.
- Delivery of Pace savings as restructuring charges roll off.

Methodology, data and limitations

- **Data.** 10-K/10-Q XBRL facts from SEC EDGAR for NKE and 6 peers, standardised across tag changes and restatements; every value traceable to its filing (Excel: Sources sheet). Prices: Yahoo Finance / Stooq; risk-free: FRED DGS10.
- **Benchmarking.** Latest fiscal year for each company; percentile ranks oriented so 100 = best; trends use the peer median and quartiles.
- **DCF.** 5-year forecast, unlevered FCF, mid-year discounting, Gordon growth and exit-multiple terminal values.
- **WACC.** CAPM with a bottom-up beta (peer regression betas, Blume-adjusted, unlevered and relevered); cost of debt from a synthetic rating.
- **Price target.** Weighted blend of DCF (perpetuity and exit multiple) and trading comps; rating thresholds +15% / –10%.
- **Limitations.** No consensus estimates or stub-period adjustment; multiples on the latest fiscal year, not LTM; operating leases excluded from debt; peer set chosen by the analyst.

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